Understanding Down Payments

One of the first questions most people ask when thinking about buying a home is simple. **How much money do I actually need**? That upfront amount is called your down payment, and it is one of the biggest factors in getting started.

In Canada, the **minimum down payment** depends on the price of the home. If the home is $500,000 or less, you need 5 percent. Between $500,000 and $1.5 million, you need 5 percent on the first $500,000 and 10 percent on the rest. So for example, on a $600,000 home, your minimum down payment would be $35,000. That is often much lower than people expect, which is why many **first-time buyers** are actually closer than they think.

Putting down more can help**. A larger down payment** means a smaller mortgage, lower monthly payments, and less interest over time. If you are under 20 percent, you will also need mortgage insurance, which increases your total cost. You should also plan for closing costs, which can add another 1.5 to 4 percent on top.

What really holds most people back is not income. It is not having a clear plan to save. Most buyers build their **down payment** using a mix of strategies, not just one. A good place to start is using the right savings accounts.

The First Home Savings Account is one of the most powerful tools available. It allows you to save up to $40,000 tax-free, and your contributions can also reduce your taxable income. This makes it one of the most efficient ways to build your down payment.

A Tax-Free Savings Account gives you flexibility. Your money grows tax-free, and you can withdraw it at any time without penalties, which makes it a great option for saving toward a home.

An RRSP can also be used through the Home Buyers' Plan, allowing you to withdraw up to $60,000 to put toward your purchase. You will need to repay it over time, but it can help you access funds you already have saved.

From there, it comes down to simple habits that actually move the needle. **Automating your savings** is one of the easiest ways to stay consistent. Setting up a transfer every time you get paid removes the need to think about it. Tracking your spending also helps, since most people find small expenses they can cut without affecting their lifestyle too much.

For example, yes, that daily $7 coffee and random Uber Eats orders feel small in the moment. But over a year, that could easily be a few thousand dollars. That is money that could go straight toward your down payment. You do not have to cut everything, but being more intentional with spending can make a bigger difference than most people expect.

Some buyers speed things up by increasing their income through side work, commissions, or selling things they no longer use. Others take a **more strategic approach** by temporarily lowering expenses, such as splitting the rent or cutting back for a period to reach their goal faster. The key is not one perfect strategy. It is stacking small, consistent actions over time.

At a certain point, most **buyers** realize something important. It is not just about saving money. It is about knowing exactly what you are working toward and how to get there. That is where having the right guidance changes everything.

At **Boyal Blueprint**, we help you break down your numbers and build a strategy that fits your situation. Instead of guessing, you get a clear plan that shows you how to move forward. Most **first-time buyers** are not as far off as they think. They just need to connect the pieces.

If you are serious about buying your first home, the next step is building a clear plan. Our **expert advisors at Boyal Blueprint** will help you understand exactly how much you need and create a strategy to start saving for your down payment right away. No guesswork. No confusion. Just a clear path forward.

Visit **boyalblueprint.com** and connect with an expert advisor today.